Lenskart Solut. (LENSKART)

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Call: Dec 2025

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(Earlier known as Lenskart Solutions Private Limited)
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Date: December 4, 2025

National Stock Exchange of India Limited
The Listing Department,
Exchange Plaza,
Bandra Kurla Complex,
Mumbai - 400 051

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Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

Scrip Code: 544600

Sub.: Transcript of Earnings Call with respect to Financial Results for the quarter and half year ended September 30, 2025

Dear Sir/ Ma'am,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Earnings Call conducted on December 1, 2025.
The above information will also be hosted on the Company's website viz.
https://www.lenskart.com/corporate/investorrelations.
Kindly take the same on record.
Thanking you,

Yours Sincerely,
For Lenskart Solutions Limited
(Formerly known as Lenskart Solutions Private Limited)

Ashish Kumar Srivastava
Company Secretary and Chief Compliance Officer
Membership No.: F5325

Place: Gurgaon

Lenskart Solutions Limited
Q2 FY'2 6 Earnings Conference Call
Dec ember 01, 2025

MANAGEMENT : Peyush Bansal – Co-Founder and Chief Executive Officer , Lenskart Solutions Limited
Abhishek Gupta – Chief Financial Officer , Lenskart Solutions Limited
Nikunj Mall – Head of Investor Relations , Lenskart Solutions Limited

Moderator: Ladies and gentlemen, good morning and welcome for Lenskar t Q2 FY '2 6 Earnings Call . To present the results, we have with us Mr. P eyush Bansal, Co -Founder and Chief Executive Officer, Mr. Abhishek Gupta, Chief Financial Officer and Mr. Nikunj Ma ll, Head of Investor Relations. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, you may use the chat option to interact with the moderator. Please note that this conference is being recorded. I now hand over the conference over to Mr. Nikunj Ma ll, Head of Investor Relations from Lenskar t. Thank you and over to you sir.

Nikunj Mall: Thank you N eerav. Good morning everyone and thank you for joining Lenskar t earnings call for the second quarter of fiscal year 2026. Before we begin, I would like to remind you that some of the statements we make today may be forward looking in nature and are subject to risks and uncertainties.

The conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks a nd uncertainties that are difficult to predict. We have uploaded our Q2 results and a detailed shareholder's letter on our website and stock exchanges.

Please note that during the call, consistent with our IPO prospectus, the financial numbers we are going to be presenting are referring to the pro forma financials for like -to-like comparison unless stated otherwise. Reported financial statements reflect a cquisition of Dealskart , Meller and Ge oIQ from their respective transaction closing dates. Pro forma financial statements present the financials as if the acquired business had always been a part of the company and hence represent a clearer business traje ctory.

For instance, international growth, the reported financials would indicate a higher Q2 revenue growth of 34% YoY due to inorganic addition of Meller during the period. Hence, pro forma financials of 26% revenue growth are a better representation on a like -for-like basis. Similarly, in India, the underlying actual business growth for Q2 FY '2 6 is 22% Y-o-Y as reflected in the pro forma financials.

However, it will appear as 13% basis reported financials. This disparity exists because in the last year Q2 numbers as per reported f inancials did not consolidate D ealskart and was higher than the actual secondary customer sales because of higher B2B primary sales between Len skart and its master franchisee Dealskart ahead of the festive season stocking. In addition, our reported EBITDA is excluding other income and includes all ESOP costs and R&D expenses.

With that, I wo uld now turn over the call to Pe yush.

Peyush Bansal: Hi, Good morning, everyone. I am really thankful for all to joining the call today. I am grateful to all of you for putting faith in us with your capital and also with your eyes. Thank you. At Len skart , we have spent a decade with one single mission. How do we get vision correction and a high quality pair of glasses accessible to everyone?

We think it will take a decade more at least for us to make any kind of impact. The journey towards vision for billion has just begun. If you look around you, you will easily find six, seven out of 10 people wearing glasses.

This has grown increasingly as the time we spend on digital screens has increased. Our view is that almost half of India today, more than 750 million people need vision correction. About 70% of adults and 40% of children in India have some form of vision impairment.

This isn't just a market, it's a fundamental human need. And we believe we are not just participating in this market

, we are catalyzing market creation. In H1 FY '2 6, we conducted 9.3 million eye tests in India, up 47%(1) year on year. But here's the number that matters most to us. 46% of these were first time users. People who didn't know they needed vision

correction until we made eye testing accessible.
The majority of them discovered a prescription issue and bought their first pair of glasses at Lenskart. This is why we started Lenskart, to transform India from the blind capital to the world of vision capital. We are still very early in our journey.
We have less than 5% market share in India. And the solution we are building here are relevant for international markets as well. But how are we doing this? Let me explain. At the core of this problem solving , lies technology. At Lenskart today, we have 500 plus engineers and are one of the most tech invested eyewear companies in the world.
Technology solves three critical problems. Where to open stores, how to scale eye testing, how to deliver everywhere. Our AI platform GeoIQ analyzes 3000 plus variables to identify optical locations, ensuring disciplined expansion and low paybacks.
We have deployed remote eye testing in 500 plus stores in India and even Japan now, allowing one optometrist to serve multiple locations using AI -enabled co -pilots with a high degree of efficiency and quality. We have built a centralized technology -led sup ply chain that delivers next day in 58 cities and now even same day in some cities. Behind every pair of glasses we ship, there's a network of automation and AI solving real problems at scale.
And this technology combined with our other investments is now creating a meaningful compounding effect. For the last decade, we have been building the pillars of our business. Now these pillars are giving shape to a new phase of sustained compounding.
(1) H1FY26 India Eye -tests YoY growth has been inadvertently stated as 47%, it is 52%

This is our compounding flywheel in action with four interconnected pillars. First, our vertical integration. Our product margin is 69.2% in Q2, is realized through scale and centralization, giving us 35 % to 40% cost advantage. We have been scaling in -house frame manufacturing from 4.4 million frames a year in FY '2 3 to almost 4 million in H1 FY '26. Second is technology -led omni -channel. 45% of our sales are digitally influenced in India.
With our mobile app driving high intent purchases to features like AI virtual try -on, geo - analytics and retail analytics. Third is the Lenskart brand itself. Lenskart brand has high word of mouth that has brought our marketing cost down from 9.7% in FY '2 3 to 7.5% of revenue in H1 through just brand pull . Fourth is operating leverage. Our store level EBITDA in India is about 33%, including opening large number of new stores, versus our EBITDA pre-Ind AS margin of 13%, giving us large operating leverage run way towards the industry steady state of 25% pre -Ind AS. Importantly, this compounding effect transformed transcends borders and currencies.
The same flywheel that works in India operates profitably in Singapore, Japan, Thailand and the Middle East. We are building a global compounding machine. This flywheel is what drives our sustainable profitable growth.
And you can see this playing out in our financial results. Let me take you through Q2 and H1 FY '2 6 results. For Q2 FY '2 6 on a like to like basis, revenue of INR21,466 million up 24% year on year. EBITDA of INR4,258 million up 34.3%(2) year on year, representing a 19.8% margin up from 18.3% in Q2 FY '2 5.
PAT of INR1,130 million up 50% year on year, representing a 5.3% margin up from 4.4% in Q2 FY '2 5. H1 FY '2 6 highlights : Revenue of INR 41,788 million up 25.3% year on year. EBITDA of INR7,908 million up 37% year on year, representing an 18.9% margin up from 17.3% in H1 FY '2 5. PAT of INR1,937 million up 98.1% year on year, representi

ng a 4.6% margin. What's
remarkable is that our H1 PAT of INR1,922(3) million is almost equal to our full year FY '2 5 PAT (4).
Our EBITDA margin has improved from 8.3% in FY '2 3 to 19.8% in Q2 FY '2 6. A 1,150 basis points expansion in 3 years. This is the math of operating leverage at work. Let me break this down by geography. Our India business grew 24.7% in H1 with a 19.5% EBITDA margin and 13.4% pre -Ind AS margin up from 10% in H1 FY '2 5.

(2) Q2FY26 Consol EBITDA YoY growth has been inadvertently stated as 34.3%, it is 34.5%
(3) H1FY26 PAT has been inadvertently stated as INR1,922 , it is INR1,937
(4) It has been inadvertently stated as PAT , it is Adjusted PA T, PAT adjusted for one -time bene fit recorded as other income FVTPL
amou nting INR1 ,672 Mn

Our stores delivered an adjusted same store growth of 15% consistent with FY '25 levels. Beyond that, we achieved approximately 20% adjusted same pin code sales growth, indicating that we are gaining market share within existing geographies.
The growth was primarily volume driven with eyewear units sold up 24%. We expanded into new cities and went deeper into Tier 2 markets. Our loyalty program Gold now has 7.4 million active members.
Coming to international business. Our international business grew 26.1% in H1 with 18.2% EBITDA margin and 5.9% pre -Ind AS (5) margin up from 4.7% in H1 FY '25. What's important here is that the majority of the growth came from same store performance. We are leveraging our India capabilities, supply chain, technology, manufacturing to drive growth and profitability across our mar kets.
Our international strategy is phased and deliberate. Each market is at a different stage. Singapore and UAE are established with market leadership. Saudi Arabia is in early investment phase. Japan and Thailand are scaling with improving economics.
Now let me explain what I mean by market creation. The most important question, what is our runway for growth? Third party reports estimate the Indian eyewear market at $9.2 billion. While we believe this is a reasonable estimate, we are confident it stil l understates the true opportunity.
As one of the few scale players in a highly fragmented market, our data reveals a much broader and more nuanced perspective. Our market creation thesis is built on solving problems that have remained unaddressed for decades. Same -day delivery, high -qualit y eye testing at scale, availability in remote towns as well as right in your neighborhood through centralized manufacturing, reimagining eyewear as fashion with virtual try -on and introducing the first paid subscription program for eyewear through gold membership.
We are pushing the boundaries of eyewear design with creative collaboration including Batman, Harry Potter, Masaba, Hello Kitty and now Pop Mart, bringing new consumers into the category and expanding its relevance. Importantly, our pricing is not determi ned by competition. We price for affordability and accessibility.
Each of these innovations has had a direct and measurable impact on expanding the market. What we are seeing in quick commerce today reinforces a principle we understood early in our journey. When you remove friction for the consumer, you don't just serve the market, you create it.

(5) Pre -IndAS EBITDA across the document should be read as EBITDA (pre -IndAS 116)

We began with 4 -day delivery, moved to three, then two. Today we deliver next day in 58 cities in India and recently introduced 2 -hour delivery service in Singapore. Each step towards greater convenience has unlocked new demand.
So first, we are creating the category. As I mentioned, 46% of our eye tests were for first time users, people who were not part of any market estimate. We are converting latent need into active demand.
Second, our micro market performance proves the depth of demand. In cities across
In

dia, across Tiers in India, we have tripled our stores and doubled revenue per store at the same time. Whether it is a metro, Tier A, Tier 2, this is not cannibalization, this is market expansion.
Let me be specific. We have stores opposite each other in locations like Chembur in Mumbai. Over the last 2 years, cannibalization has been minimal. When we add density to a postal code, we are not splitting the same pie. We are doubling the TAM in the po stal code. Our runway is therefore not just about capturing share in a fixed market. It is about two powerful vectors of market creation.
One, geographic expansion. We have identified about 2,800 unserved pin codes in our existing 431 cities plus 2000 new towns through our GeoIQ platform where we have no presence but dynamics are similar to our existing towns. Second, market densification. Our data shows we can continue adding stores in existing markets with minimal cannibalization.
When you combine these vectors, the addressable opportunity is multiple times our current footprint, a decades -long expansion runway. And this is not just an India story. The solutions we are building here are relevant for international markets as well.
In Singapore, we are now the largest eyewear player with about 1 out of four people

wearing a Lenskart pair of glasses. The playbook is global. We are executing on this with discipline and speed. In H1 FY '26, we added 203 net new stores in India. For the full year FY '26, we are targeting more than 450 net store additions in India.
As we expand, we are also thinking about the future of the category itself. Eyewear hasn't seen a new generation of brands in decades. Traditional brands grew on global platforms. But today's D2C brands need a different ecosystem. We are building the plat form for the next generation of eyewear brands. Our house of brands serves different customer segments, John Jacobs for premium fashion, O wndays for quality and value across Asia, Meller for fashion -forward sunglasses, and collaborations like Pop Mart for younger trend -driven consumers.

Meller is a gem. The love for this brand is the best we have seen in many years. It gives us the right price point for fashion sunglasses combined with a strong European design DNA and some of the most aggressive and creative marketing you'll see in the e yewear category. We recently launched it across our network in India and Middle East and the response has been overwhelming.
I encourage you to check it out online or at your nearest Lenskart store. Could Meller be to Lenskart what Ray -Ban is to Luxottica? I don't know, but the potential is certainly there. Our goal is to be the enabling platform for the future of eyewear, bringing customers more choice and helping new brands scale on our infrastructure. But the biggest transfo rmation is yet to come. Customer experience remains central to everything we do. Our NPS improved from 70% in FY '23 to 79% in Q2 FY '26. AI is becoming the cornerstone of everything we are doing, because we believe it's the only way to solve the problem of vision correction at scale. When you get your eyes tested, AI is helping our o ptometrists. When you try on frames, AI is powering your frame recommendations. When you place an order, AI is optimizing our supply chain to get your glasses to you faster. Even when you interview with Lenskart, there's an AI agent conducting most rounds today.
And the future is even more exciting. B, our new smart glasses, allows eyewear to do much more for you and is a core part of our purpose. B will enable hands -free calling, taking photos, videos, real -time translation, AI assistance, food logging, UPI paym ents, and seamless integration into your digital life all through your glasses.
This transforms us from an eyewear company to an eyewear and data company. This is not just another product. It's a combination of our full stack approa

ch. We are designing
the hardware, developing the software, and mobile app in -house, and building it on Qualcomm's advanced AR1 chip. And this is just version one. This is one of the greatest times for us as we look forward.
We are grateful to all our shareholders, customers, employees for your trust. We are excited about the journey ahead. This is still day zero. With that, we'll open the call for your questions.
Moderator: First question is from the line of Vivek Maheshwari. Please go ahead.
Vivek Maheshwari: Hi, good morning, Peyush and team. This is Vivek from Jefferies. Since this is the first time that we are speaking to you after your listing, my questions may be a bit basic. But the first one is on your comments in your shareholder letter as well as today on the compounding bit with a focus on margins led by, let's say, operating leverage. Of course, you mentioned that. But now that you're listed, how do you manage or ensure that you don't lose sight of the growth and do not overly focus on the margin? So, that's the first question.

Peyush Bansal: Thank you, Vivek. Great question. See, in our business, we have been investing for the last decade plus into fundamental pillars which are driving this margin. This margin is not driven by reducing marketing cost or controlling costs in the short -term. The y are fundamentally coming from a few pillars which are core to our business. First of them being vertical integration, manufacturing that we have invested.
Our product margin in the last five years, if you see from FY '23, has grown from 64% to now 69%. So, this is a very, very strong pillar that we see in our business. Even as we look at how we acquire customers, our omnichannel approach, today 45% of the s ales is digitally influenced.
Our marketing costs have come down from over 9% to 7.5%, not by reducing absolute marketing costs, but by actually just the brand pull and word of mouth. So, we have actually spent more, but the growth has outpaced the marketing costs, which is what is kicking into the business.

And then there is the operating leverage, whether it is the employee cost. There are a lot of fixed costs in the business, like technology costs. So, while we continue to invest in growth, even if you look at examples like B, you know, they are getting fun ded from the growth itself. I just want to reassure you, growth is our priority.
In fact, I would say, volume growth is our priority. So, I would say, the operating leverage is coming from fundamental pillars in the business, one of which is also the Lenskart brand. It is not coming at the cost of growth.
Vivek Maheshwari : Got it, Peyush . That is good to know. Two more questions. The second one is on the GST bit. You have mentioned that there has been an impact in the month of September. A lot of consumer companies have had quantified this impact.
Is it possible for you to either quantify what is the impact in September quarter or how October, November, ex of this, once the GST bit settled down, where the numbers are trending? Because you have given some reference to October, November in the shareh older letter.
Peyush Bansal : Yes . Thank you, Vivek. I was expecting that question. So, overall, I would say we still had a very strong quarter too. We did see demand softening in the month of September because of anticipation of revision in GST rates, but I would say we still did fairly we ll. What we have seen is this has more than normalized in October and November.
In fact, I would say because we passed the GST benefit to the consumers, we have seen a very, very strong demand coming from consumers in a category like ours. So, I would say, I am not -- we do not give future guidance, but I would say we have seen very, very encouraging signs in demand coming in Q3.

Vivek Maheshwari : Okay, got it. And last one, Peyush. This 10 -month payback, you know, wha

t you have
mentioned in the shareholder letter, and of course, that is what, let us say, 80% plus of your stores have done in the past also, as given in RHP.
How fixated you are, you know, as you penetrate, and I understand the math s that you have, and it is a brilliant piece of information in the letter about the time via your stores. But how fixated you are to this 10 -month payback, number one.
Number two, do you think, and again, sorry if it is a naive question, but let us say you have mentioned about how digital influences users and they in turn walk up to your stores. Is there a possibility that, you know, into the future, you need -- may not need as many stores as you are thinking because customers will be very comfortable, let us say, placing orders online?
I know it is a very personalized category, but do you see that part playing out? So, two parts to this question, and that is about it.
Peyush Bansal: Thank you, Vivek. Yes , I will take that one. So, the first one, sorry, the first one?
Abhishek Gupta: 10 months. Are we fixated on 10 months?
Peyush Bansal: See, we are not fixated on 10 months, to be honest. I think we prioritize growth and market share. You know, our core goal is that we want to serve more and more customers and create the market. We do care about economics and discipline to make sure that it is making sustainable sense for us.
That being said, the geoanalytics platform that we have been building for over 7 years now is becoming more and more powerful. You know, over the last 3 years, as we expanded into Tier 1, Tier 2 cities, we were amazed amount of machine learning that was ki cking in.
To give you an example, we already have, you know, a few years back, we had 1,000 stores. And across these 1,000 stores, we had thousands of variables which we were tracking. And the amount of data that was available on the internet was also limited. So, the predictability of the model was up to a certain extent.
But as years have passed by, now today we have over 2,000 stores. And across these 2,000 stores, we track even more variables, plus the data that is available in the cloud is even higher. And when you merge all of this and put it into, you know, regression , the learning of the model is very, very refined.
Today, we track mobility patterns of people on both sides of the street. We know where do people stop. We even know where people are coming from on a particular latitude, longitude, where are they going to. We understand through satellite imagery today, wh at is happening, you know, what is the growth index of the country, in which part growth is ?

In fact, we are no more going into markets where there is retail. We are actually almost the first retailer in any market because the data has become really, really powerful. So, what you see in the payback is not because we are fixated that only 10 months we will

open. What is coming out of just pure data and science and analytics, right
So, that, you know, and then the model has got further refined in terms of prioritization.
Today, we do not go and say, okay, go open a store in a locality. We started from a city, we moved to a pin code, then we moved to a locality.
Today, we say within 50 meters of this point, right? And even the properties are coming to us on our retail IQ platform, where people, we are only allowed to open. So, I think just the science of it has become very, very strong.
Abhishek Gupta: Yes , I would say it is not, Vivek it's Abhishek here. It is not a constraint. It is a prioritization discipline.
Peyush Bansal: Yes . And the second question?
Abhishek Gupta: Second question is that in future, will the go -to-market evolve and will we make -- it might be a time consuming?
Peyush Bansal: I would say that, you know, if I look at any market in the world, even the developed markets, the population, you can segment into three buckets. There is a

population that is buying
online. In India, let us say that number is 200 million -250 million. Then there is a bucket which is influenced online, but they are shopping offline. And there is a bucket which is not online at all. Now, in any market you go to, the middle bucket is the largest.
That being said, you know Lenskart's core model leverages into that bucket, because when you are not leveraging into that bucket, a lot of the marketing cause that you are doing is actually going waste, because the consumer is digital, they are coming, your marketing dollars are n ot changing. So, what a store is really doing is actually becoming the conversion point.
So, let me explain you. So, let us say, you have 100 people coming on the website, and the best case conversion on a website is 4 to 5. Now, even in an evolved market, this 4 to 5, let us say, goes to 10, right? But is 10 good enough? Now, the same consume r today, you know, who is coming on the website, checking out your customer reviews, doing virtual try-on, is ready to convert with a little bit of assistance.
Now, that assistance could come over a call, it could be through an AI stylist, which we have just launched on our app, or it could be in a store. And then that conversion of 100 from 5 moves to 10. And with the store, it moves to 20 to 30. And then you ha ve someone coming to your house to do an eye test, it moves to 35. And that is where the operating leverage and the profitability comes in, right?

What we are seeing today in online is adoption is increasing more and more. In the global markets, we see people are getting comfortable buying eyewear online. But I would still say that the goal that Lenskart is looking at is an omni -channel model where we are not really building omni -channel, we are building omni -consumer in that sense.
And I would say customers are shopping across. We have customers who come online, visit a store, and actually come back and buy online again. A lot of customers are actually going for their first purchase because they want to do an eye test in the store, but their repeated purchases are coming online.
And some, after coming online, call somebody at home to complete their purchase. And this is evolving. So, at Lenskart, I think we see this all as online. But yes, adoption is increasing. We have launched recently a new assistant called B, which is also called B because it's an extension of our glasses, where you can chat with an AI agent. They scan your face.
You can have a live video chat. It's very, very smart. It is in multiple languages. It scans how you look, thousands of facial features. It looks at your clothes and it recommends you real - time the glasses. And that, we have seen very, very great response. We are seeing people spend hours like they would spend in a store.
Vivek Maheshwari : Got it. Fascinating one, indeed. Thank you very much, Peyush and team, for the elaborate answer. And I wish you and your team all the best.
Peyush Bansal: Thank you. Thank you, Vivek.
Moderator: Thank you very much. Next question is from the line of Tejas Shah. Please go ahead.
Tejas Shah: Yes . Thanks for the opportunity. This is Tejas Shah from Avendus. First of all, thanks for very detailed newsletter for sharing very, very minute details. First, impressive SSG 15%, all volume -driven. Peyush, you just spoke about that our focus will be on vol ume -driven growth. So, just wanted to know, as a strategy, do you think pricing or premiumization becomes a meaningful lever in medium term?
And second, the GST benefit as we kind of pass it on to the customers, just wanted to understand how the category reacts to elasticity when such correction happens. And where does it take our competitive position versus unorganized, in particular?
Peyush Bansal: Thank you, Tejas. Great question. See, pricing definitely plays a role. I think in India, if I

look at the over

all market, there is a market, which is the middle of the market, where
Lenskart has largely been playing. And there is a market, which is below that price point.
And there is a market.
And I think, as we stated in our prospectus, we have added market share in both of these.
We almost are doing close to 18% business now, below INR2,000, as much we are adding
to the 10,000. I think market is evolving and growing on both the sides right no w.

But pricing does play a role. I think this market is growing so rapidly. And going back to my
point about friction, you know, the more friction we remove from the category, it unlocks
latent demand, because a lot of times people need a little bit of trigg er.
I'll give you an example. We launched a new service. We have been in the business of
selling glasses with prescription with the lenses. We have been a very small player where
people bring their existing glasses to change their lenses. Recently, we investe d in the
supply chain ecosystem. And now we offer a service where you can bring existing glasses
from any brand and get lenses replaced. And we saw huge demand of consumers. Now, if
you see, lens replacement usually happens at slightly lower ticket size th an frame and
lens. But we saw great demand, we saw margin sustaining, and more market share coming
into the picture.
And I would say GST, coming to your second question, definitely has unlocked more
demand, because it was a category which was sitting at 12% GST, which has now come at
5%. And I think the team has done a great job by passing that benefit to the consumer, a t
not only at every price point, but I would say the lower price points even more to unlock
demand. The blue computer glasses at Lenskart, which is what India, digital India needs
right now with everybody spending more and more time on mobile, is more affo rdable than
ever. And we have seen great uptake.
Tejas Shah: Very clear. Second, same pin code versus SSG. You mentioned that 20% same pin code
growth versus 15% SSG. Now, this 500 bps gap suggests limited cannibalization. But going
forward, how should we think about this number? Usually, has it remained this gap in past
or has it narrowed down or it expands with all the gen IQ data or expansion that we are
doing that it actually kind of plays positively as we go ahead?
Peyush Bansal: See, at Lenskart, our goal is to gain market share in every locality. And if you look at a pin
code, it is a pretty large area, right? And within a pin code, there are multiple micro
markets that exist. So, I would not necessarily say that between SPSG and SSG there is
cannibalization. In a city like Bangalore today, you need, I think, 10 minutes or 15 minutes
to get to a kilometer. So, at least what our data suggests is there is no cannibalization
between SPSG and adjusted SSG.
We do optimize for same pin code sales growth as a business because the way our model
works is that we are bringing people online onto our platform, and then we are converting
them into the neighborhood. I'll give you a very, very interesting case study th at we have
done. When we ask people, what is the biggest reason for you to shop at Lenskart?
Invariably across surveys, we say 60% people say it's quality followed by style. But, you
know, you'll be surprised despite having 2,200 stores, you can do a survey yourself that
what is the biggest reason for you to not shop at Lenskart? People will say, I don't have a
neighborhood Lenskart store in the vicinity.

So, yes, coming to your second question, has this trend been the same? Last year, we saw
a similar trend of both SPSG and SSG. We are a very hyper local business. And in fact, I
would say a pin code is a very, very large base for us. Within a pin code, there are multiple
markets, and then there are micro markets.
Unfortunately, I think we do not track enough data traditionally to be able to segment
these co

nsumers. We look at mobility patterns. So, if I am sitting in BKC, people are
coming to BKC at a particular latitude, longitude, from what area and where are the y going
to? Do they come during the day? Do they come in the evening? Are they coming, you
know, lunchtime?
It defines what a market is. And I think markets and catchments cannot be seen in the way
we have seen them traditionally. There are more data points that need to be applied. And
today you have so much data point about with quick commerce or food delivery patterns
that are happening. So, that is how at least we look at it right now. And we continue to go
deeper in every pin code and we will continue to.

Tejas Shah: Very good, Peyush. Thanks and all the best for coming quarters.
Peyush Bansal: Thank you.
Moderator: Thank you very much. Next question is from the line of Ayush Rastogi. Please go ahead.
Ayush Rastogi: Hi. Thank you so much. A couple of questions from my side. Correct me if my observation is wrong, Peyush. First would be in terms of implied ASP for 2H FY '25, it seems, you know, a high jump from 5,500 sort of a number to 9,000. So, can you just let us kn ow what has led to that? And again, from 2H of FY '25 to 1H of FY '26, if we see there has been a sharp drawdown in terms of ASP from 9,000 to 5,000. That is the first thing.
Second question would be, definitely the margins, you know, have been very good in this quarter or maybe you can say in 1H also. But most of it has come on the back of, you know, reduction in the other expenses, which can be attributed to the marketing exp ense. So, going forward, what is the thought process for the marketing expense?
Like, can one expect the same momentum to continue? Or like, should we expect maybe a bit increase in the marketing expense, which can dent the margins or maybe like adjust the operating leverage that we would be having as a lever going forward? So, these are the questions from my side.
Abhishek Gupta: Let me take the second question first. I think on the margin expansion, like we discussed earlier, there are three fundamental pillars. First is the product margin improvement. So, if you see in the international markets, we added about 1 percentage point of product margin in this period.

Second is marketing efficiency. And we spoke about marketing already. India has seen about 2 percentage points improvement year -on-year on marketing expense, whereas we have invested more in international on the marketing side.
Then in the other expenses, you also see incentives and commissions have been going down because as we are not adding new franchise stores, the relative share of the franchise commission expense keeps going down and that brings some operating leverage, rig ht? At the same time, you will see overall, you know, fixed cost operating leverage through technology and a fixed infrastructure cost. So, I would say, like Peyush earlier mentioned, the steady state margin in this category globally are about 25%, right?
Nikunj Mall: Pre-Ind AS.
Abhishek Gupta: Pre-Ind AS. And we have added about 10 percentage points in the last few years. Our priority continues to be growth and margin is a normal outcome because there is positive correlation between growth and profitability for us.
Peyush Bansal: And Ayush, thank you. I would just like to add to that. The product margin expansion would also continue in this category. If we look at our international business and we look at mature markets to new markets, we see a delta there because our international markets require technology and supply chain integration, which happens in a phased manner.
As markets get integrated, we start seeing margin leverage coming into the picture. Even in India, moving forward, you will see further margin improvement with economies of scale, more backward integration that is coming into the category as we set up our Hyderabad plant and we int

egrate more manufacturing into India. Plus, we have launched brands like Meller, which are premium brands, which inherently have a higher margin there.
So, I think there is opportunity for further net margin improvement in the business. And like Abhishek said, the steady state margin in our category is around 25% pre -Ind AS. It is not something that we are committing that will happen in the next two to th ree years. It is a long runway because growth is our big priority. But in the long term, that is where I think the business will move towards.
Nikunj Mall: And Ayush, can you just clarify on the first question when you are looking at the ASPs, which period and which geographies are you referring to?
Ayush Rastogi: On the international front, for 2H of FY '25 versus 1H of FY '25 or 1H of FY '26?
Abhishek Gupta: Yes . So, if you see our overall growth in international markets, Ayush, you will see about 26% growth year -on-year. Within that, the volume growth is about 16% to 17% . And the price growth or the ASP growth is about 9%. And one of the reasons it can be attributed to is because of the currency impact.

We do not report constant currency financials because we have a natural hedge in our business. We earn revenues in multiple currency beyond INR, JPY, Singapore dollars, Thai Baht, Saudi Riyals.

But at the same time, we also import raw materials into India. So, they kind of offset each other and the net impact is not really significant. But that is the major reason for the ASP increase that you see in the international markets. In the past, trends also that we have seen, the overall currency impact in our net financials is insignificant.
Ayush Rastogi: Okay. But the implied for 2H of FY '25 seems to be, you know, way too high from 5,500 to almost 9,000. So, like, how much would have been led by the FX and how much would have been led by the increase and then again, the sharp reduction?
Abhishek Gupta: The currency impact that I have is about 8% to 9%. The remaining, I am not able to…
Peyush Bansal: Correlate the numbers. We will just check. We will get back to you.
Abhishek Gupta: Why don't we check that again and maybe towards the end of the call, if we can get an answer?
Ayush Rastogi: Sure. Thank you so much.
Abhishek Gupta: Thank you.
Moderator: Thank you very much. Next question is from the line of Shrenik Bachhawat. Please go ahead.
Shrenik Bachhawat: Hi, team. Good morning. Shrenik from Mahindra Mutual Fund. Thank you so much for the opportunity and congratulations on good set of numbers. My first question is, can you throw some more detail on how the growth path will look in the international markets and how do we look at the store additions in the international markets over the medium term? And also, I have seen the Bhiwadi factory, which is very impressive, but how does the manufacturing operations and supply chain operations affect the international markets?
Peyush Bansal: Hi. Sorry. Thank you. Can you repeat the second part of the question once?
Shrenik Bachhawat: So, how does the manufacturing operations and supply chain operations work in the international markets like India we have a great amount of backward integration and our own manufacturing capacities. Do we have our own manufacturing capacities in the inte rnational markets as well?
Peyush Bansal: Thank you, great question. And I will answer the second question first and come back to the first one on how we do look at growth in international. So our international markets are relatively new. Over the last few years, the vertical integration has been progressively increasing. We run a hybrid approach where India you would assume, I would say is the core of supply chain and then the last mile is local.

Usually all the high value activities happen in India and then the low cost activities happen locally. We are not yet fully integr

ated our supply chain across international. In markets like Singapore and Dubai, our supply chain is well integrated because these markets have matured where unit economics are also now very similar to what we see in India in terms of growth, payback, etcetera.
Whereas in other markets, every quarter that passes by, integration is happening right now. So, we operate at a hybrid approach. I think overall as a business philosophy in international supply chain , technology is very centralized. In fact, I would say all financial, HR, all these functions are run centrally.
What we do locally in every geography is marketing and design, which is very, very core for us to succeed in any market. Whether it is the design that works in the market to develop styles, I think traditionally what eyewear players have missed is that des ign and I have seen even the most global players when they sell their products, they sell the same product that they sell in US as what they sell in Asia.
But if you look at the preferences of consumers and even the face shape, they are very different across these markets and at least the wins that we saw in UAE and Singapore came out of designing to the market, collaborating with partners to the market. So , that is very local. Our marketing is largely content led and social media led, which again it makes very, very big sense to do it.
So, I think we have arrived at a very, very good balance here, which ensures that we run a very, very low cost operation, but at the same time, we do what is needed locally. So, to summarize, I think supply chain integration is underway. It is not where I ndia is, but in the times to come, it will get there.
Coming to the first question on how we think about international. See, I would say international is following our trajectory in India. We are about three years behind India. But one thing which is very heartening for us to see in international is that the operating leverage and profitability is kicking in sooner than it kicked in India.
In India, actually, we see profitability come in at a much later stage. But because large part of the pillar systems, whether it is supply chain and the knowledge that the company has on how to market and the strategy, we are seeing this kick in. If you s ee our international business and we did not see this in India this early, it was pre -Ind AS negative 4.3% in FY

'23.
And it has already reached about 5.9% in H1 FY '26. Now, this is not forced. This is again coming, I think large part of what you see here is coming out of the pillars that we have established locally in India. One thing for us to note is that in internati onal, our margin is about 75% versus 63% to 64% in India, which is 10%, 11% higher and in mature markets, even higher than this.

Now, this is another 11% and in the higher markets, even more differential for us to create value for the customers. And secondly, the myopia rates in our markets is very, very high. In India, we are talking about 60%. In Southeast Asia, the government dec lares myopia rates at 80%.
If you go to the government of Singapore website, they say 83% of people get myopic by the age of 18. So, the demand is increasing very rapidly. In fact, I would reiterate that the demand in the markets that we operate is also growing very rapidly. In fac t, the demand is moving towards D2C brands.
But the solutions that are available in the market, A, do not cater to the styles that the consumers, sorry, the consumers are used to, plus the price points at which they are available are very, very high. Now, if you look at kids, at about 12 years or 6 years, large number of kids get myopic.
The solutions available in these markets cost into hundreds of dollars. And we, with our supply chain, centralized supply chains, and with our economies of scale are able to provide products at even a much large differential in these markets that

we have, we do
in India. So, I see the opportunity here very, very large.
And it is a multi -market approach, I would say. International, I would say, one should take a longer -term view. We are very positive. In fact, we are very excited. Growth is what matters to us there. And we are taking a very calibrated approach. In FY, ti ll three, four years back in India, we used to open only 50 to 100 stores a year. And then, as we calibrated into markets, we expanded this journey.
And our geo analytics platform right now, we are scaling to international, as we speak right now. Our Tango Eye, which allows us to do retail analytics. And that is why you see same - store growth coming into this category right now. But what you see in inte rnational is a combination of markets. When you look at certain mature markets, they are actually very similar to India. So, we are very, very excited and positive about India, about international. I think it is even stronger than India in many ways.
Shrenik Bachhawat: Thank you for that…
Moderator: Shrenik sorry to interrupt, but we are losing your audio.
Shrenik Bachhawat: Am I audible now?
Peyush Bansal: Yes, can you be closer to the -- yes thank you. Please go ahead.
Shrenik Bachhawat: Yes. So, it is last question. So, on the India manufacturing bit, I believe, if I am not wrong, our Bhiwadi capacity had come up three years back and now we are planning a large capex starting December . So is it that every four years, we will have to plan a large capex to cater to the strong growth that we see in India or incrementally, we will have to plan much larger capacities so that we can delay the large capex's every incrementally?

Peyush Bansal: Yes. See, overall, I want to mention that our capex is divided into two parts. There is a structural capex of building civil infrastructure, which is not the majority part of capex. It is a relatively smaller percentage of the capex. And because we are so positive on the latent demand that is coming into both India and international .
It is better to invest in it ahead of time because it takes approximately 2.5 years for the infrastructure to come up. And then the machinery, which is the larger part of the capex is normalized and invested in closer to how we see the demand coming up. Th at being said, right now, we are investing in Hyderabad, but as we speak, our Bhiwadi utilization is already at 64%.
Our Hyderabad plant is still about 18 to 24 months away. By that time, this utilization will go up further. And that is when this plant would come in. I do want to iterate that through these factories, we are not just creating backward integration. We are actually taking customer experience to the next level and which is what is driving this growth and which I mentioned about in the market creation.
Today, we are delivering in 58 cities next day through one factory in Bhiwadi, right. And as we see, when we move from four day to one day, the demand that got unlocked was very, very massive for us. Because even sitting in the same city, people were not a ble to do that.

Our overall investment in Hyderabad is also to create that customer experience right now. It is not necessarily to say that every dollar needs a capex investment, we have capacity right now. But right now, we have to think about long term, we are just scratching the surface, but it is, I know we have capacity, but at the same time we have high er demand than the capacity we will create we have in the next few years.
Abhishek Gupta: Yes and look we are looking to expand in the next three years, 3x of the current capacity, which will -- in anticipation of the growth that we are seeing. So, this is an upfront investment.
Peyush Bansal: Yes and it is in a phased manner. Civil infrastructure, if I am investing a dollar, it is about 20% of that dollar, 20 cents of that dollar, remaining of that happens in a phased manner

like we did in Bhiwadi. So, I think we feel quite comfortable about it .
Shrenik Bachhawat: Thank you for the detail response and all the very best.
Peyush Bansal: I just want to add to this, one of the things that we are also doing increasingly now is moving frame manufacturing into India. And that we see we are able to manufacture in India and save at least 20%, 25% on the cost when we do it in India and our abilit y to do engineering innovation is much higher, our lead time reduces, so working capital also becomes better.
So, these investments are also fueling margin expansion, lead time reduction, higher innovation, which is what India needs right now. And what we have done in Hyderabad

particularly is we have opened, the location is very strategic, it is about seven minutes away from the airport. And so, the access we get into the international markets is very large.
Nikunj Mall: And just wanted to get back to the previous question on the ASP. Ayush, I think the numbers you are looking at are not like -to-like probably the volume which you are considering for H2 FY '25 or the full year FY '25 is excluding Meller and the shareholder letter which represent data including Meller for H1 25 . So, hence the delta which you are getting reduces the volume, which is showing a higher ASP, there is no material movement in H1 '25 to H2 '25 on ASP. Of course, we can connect offline to go through t he reconciliation post call.
Moderator: Thank you very much. Next question is from line of Mihir Shah. Please go ahead.
Mihir Shah: Hi, Peyush and team. Thank you for taking my question. This is Mihir Shah from Nomura. Firstly, congrats on a good set of numbers. Usually, when one looks at the throughput per store in a metro versus a Tier 1 or Tier 2, there is a materially higher difference between both of those stores. But believe your throughput appears between these, between the metro stores and the Tier 1 does not appear to be much materially very large.
Wanted to understand if that is a correct understanding and if so, what is driving higher throughput per store in the Tier 2 stores similar to the ones that is there in the metro stores? So, that is question number one.
Peyush Bansal: Thanks, Mihir. Great question. I think I would say it is slightly better only in Tier 2. That has been our learning. See, I think what we are seeing is that the availability of more high quality and professional opticians in Tier 2 is relatively lesser tha n what you see in a metro and a Tier 1.
And there is, in fact, even a larger set of population which is coming into the category for the first time in these markets as we go increasingly there. And when we look at new people that enter into the category, for them Lenskart is a preferred choice f or the majority. So, what we are seeing and we are seeing this across, right, we have now thousands of Tier 2 plus stores. And even this year, we have added 94 odd stores in Tier 2, 93, 94 stores in Tier 2.
Now, what we are seeing here, in fact, is lower rentals, similar throughput, slightly larger size stores, which are coming into the picture. And so, I think in the longer term, these stores will do very well. We have ourselves been very, very pleasantly s urprised or presently happy with the demand that is coming in this, whether we look at Ayodhya or you look at Srinagar, the demand for eyewear consumption that we are seeing coming into these markets is very high.
I think they are looking at this category very differently. It is almost like when you skip a generation, because, when a lot of people did not get to the laptops, they got to the same,

straight to the mobile. So, I would say I would attribute it to that. I recently spent, last year, the whole management team, we went to Vellore and we drove from Chennai for about 4, 5 hours.

And the store is not even in Vellore, it is actually towards the

edge of Vellore, just near VIT.

And we spent about a day there, and we were amazed to see the way people look at fashion there. I think for a lot of us, we have a pre -notion about this categ ory, that it is not fashion, I should not change my glasses that often.

But when we see the new incumbents in the category, they are coming with a very, very clear and fresh mindset. They do not see why should I not buy two pairs. In fact, their demand is why, when will you have an offer which will allow me to buy three pairs . So, I think the demand here is going to be continued to be high, and we are also quite pleasantly happy with what we are seeing there.

Mihir Shah: Interesting points highlighted, Peyush. Thank you for that. Secondly, I wanted to just check if you can possibly share, what is the average ASP difference for you versus the other players in the international markets like Singapore, Japan, Saudi Arabia. I mean, and maybe even for India, if you can, if you have done some study on what is the average pricing and the differential between you and the other folks? Thank you. And I will come back in the queue for other questions.

Peyush Bansal: Firstly, I want to say thanks, great question. I think, see, we do not price the competition. I think, and for over a decade now, I think we have been very obsessed with customers and not competition. I think we look at accessibility, we look at which is t he category and we also are quite empathetic towards certain segments.

One thing I would tell you about India is the price at which I feel we are able to today provide a pair of glasses to a customer would largely be similar to what it would cost majority of the market to, as a retailer to buy that pair of spectacles, right?

So, the differential is large. I think we have been, one thing which we are super obsessed about a company is cost, right? I do think as a discipline for over a decade right now, and it does not stop, I mean, we run it, we run Kaizen every day that passes by, every quarter that passes by, and there is always more that we find.

We have a dedicated commercial team in the company and a set of engineers which are trying to find efficiency in every corner, every inch of a box to a packaging, to a tray, to a process engineering that we look at.

In international, and then there are certain products where we also invest for in the long term. I will give you an example in international, from a market like Singapore, we feel that in the years to come, kids as a category is going to be very big becau se kids used to be 20% myopia. Today, it is 40% -50% in India.

In international markets like Singapore, where data is very well published, this number is already 60% -70%, and by the age of 18. So, we are investing heavily in this market. We also are very empathetic towards kids.

So, in a market like Singapore, where average kids glasses would cost $300, $400, our starting price point for kids glasses for two pairs, including lenses is $50. So, that delta is very wide. So, I think we play depending on a combination of markets where the growth is going to be for the future, what do we need to do for the present, and then the strategy is very different when it comes to the premium segments.

But we want to be a brand for all. We operate at all price points. But one thing which I would say we do at all price points, whether you buy at $10, $50, or you buy at $400, the value differential you would get at Lenskart would be 60% -70% is what we aim towards in getting there.

Of course, this value differential grows much higher as you go towards premium price points. And we do not differentiate on quality and promise across price points. So, you can buy INR1000 product from us, and you can buy INR20,000 product from us. Our ser vice levels for you is going to be, in fact, our store staff today is not incentivized on value. They are incentivized o

n number of customers, not just in India, but globally.

So, our view on this is that we do not look at what competition is doing. We look at what is unlocking. Even as GST came in, I think we were very clear that India needs BLU Lenses. And now, I do not think this is driven by competition, but we just think w ith India being one of, and Asia being the areas where screen time is so large, everybody will feel better if, their eyes will be better if they wear BLU Protection Lenses. So, we priced, we made, we slashed the prices there the most.

Mihir Shah: Great. Thank you, Peyush. Wishing guys all the very best. You guys are doing a good job on the product side and the services side. Thank you and all the very best.

Peyush Bansal: Thank you, Mihir. Thank you.

Moderator: Thank you very much. Next question is from line of Amit Purohit. Please go ahead.

Amit Purohit: Yes . Hi. Good morning. Thank you for the detailed press release and explanation on the questions. Two things I wanted to understand. One on the competitive scenario, wherein what I wanted to know is that there are many unorganized guys as well. And you have highlighted in the DRHP also the share of organized is pretty low.
And I try to look at what are the key differentiated unorganized guys would be probably offering maybe a relationship, a specific brand or a quicker delivery. Whereas now with the new facility in Hyderabad, some of these things will be addressed by you and just your thoughts on why are the unorganized guys not able to launch some one plus one free offer?

Is it because of the backend infrastructure that they lack? And that becomes an added advantage for us. And plus the quicker delivery comes in. So probably next 2, 3 years, we may see a better growth, even faster growth and not just 20%. Is that a scenari o possible?
Peyush Bansal: Thank you, Amit. See, I think, yes, faster growth is what we aspire for. Faster yet managed growth is what we aspire for. I think one of the things that we have built Lenskart is on and I think you can walk into any Lenskart store globally. One number, I c an understand a store staff not knowing their sales, but they would definitely know their net promoter score. Right.
And that is a number that we see is a leading indicator of our growth. And under any circumstance, that number supersedes even our expansion. We would never let that number drop, not in India, not in international. And we started our journey net promoter score from 40 to 48 to 50, and the journey to 60 to 70, and now 79. And what we have seen is that once you cross 70, every point takes more work than the last 10 points ever took.
So I think for our, what we have seen is that it is difficult. I would say, I have never even really looked at, and at the company we do not obsess over competition.
I think everybody in India, considering the problem the way it is. And globally also now we need more players to unlock accessibility in the market, and everybody plays their role.
And like you said, local opticians or the unorganized opticians bring a lev el of touch and personalization, but our endeavor into go deep into customer. I would say people buy from Lenskart.
Of course, there are fundamental pillars of quality, of the way we cut our lenses, but it goes beyond these pillars. It goes into the culture and the fabric of how we work? We believe in the principle that good is not good enough.
I mean, when I will give you example, when we say delivery next day, we have a choice to measure it using average or we have a choice to measure it using P99. So when we say we deliver next day, we deliver it not 80% next day, and then the balance 10% will come in the second day, and then the last 10% will have a three to four day tail, that is what we have seen in most of the logistics ecosystems around.
And that is why we had to invest in a proprietary logistics ecosystem where we co

mmit
ourselves, that either we will deliver next day or we will give you 50% of your money back, and that gets credited without you asking for it. You don't need to make a cal l, and that pushes the bar every day. And that is why we deliver with 95%, 96%, 97% reliability. This is just one example of how.
So I think why people, this is a slightly longer answer of why people choose Lenskart? It's not one answer. I think it's because what we believe is good today is not going to be tomorrow. We don't think we have found any mousetrap.

Even if you look at packaging today, we are moving towards sustainable packaging. We don't need to. I don't think the market today is talking about sustainable packaging. A market like Singapore, we have already moved to sustainable packaging. So when we l ook at our business -- and consumers look, we believe that satisfaction is not good enough.
It is all about delight. It is all about whether we will become a part of the dinner conversation today or not. And so decisions are based on that. Every Tuesday, the whole management sits for the first two hours in the morning, 9 to 11. And we do a call with store managers across the globe where they tell us what customers are saying. A chart is made.
I have a detail -- I have a dedicated person in my CEO office who is then tracking every detail. And that detail is what matters in the long term. You know, in airport, I was there, a few days back when we had come for the IPO ceremony and someone I bumped into the airport, they said, I'm shocked that they deliver glasses to my gate in our airport store just within 20 minutes.
So I can place an order at the airport store. There's a remote optometry, which is 24 hours,

which happens sitting in Kolkata. And after you place an order, somebody brings it to the lounge or to the door. I think that last mile of customer experience is w hat brings customers back into the Lenskart ecosystem.
Amit Purohit: Thanks a lot. Just one thing. The Hyderabad facility will further improve our logistics and deliverability?
Peyush Bansal: Absolutely. I think there is no end to this, because, like I said, this is a Kaizen. We will improve it before Hyderabad comes up further. And with Hyderabad, we will take it to the next level. I mean, we have worked very hard to make sure that this locati on is close to the airport and every minute counts in our business. So, yes, today, Bhiwadi, where we are, is about two hours away from the airport.
This is seven minutes away from the airport. So there is going to be. In Singapore, we just launched a two -hour service, and we have seen amazing response and unlocking of demand like never before for contact lenses. And we continue to experiment and innov ate to make the service better and better every day.
Amit Purohit: And the last question is, just on trying to get some data points on the balance sheet side. There is some intangible assets which is figuring in queue to balance sheet, which is intangible assets under development. Is that, any explanation on that?
Abhishek Gupta: Yes , I'm Abhishek here on the balance sheet size. This is a good question. Good catch, actually. This is the goodwill and intangibles that we have capitalized as a part of our purchase accounting for the Meller brand. So it is, we do not capitalize any intern ally generated software or any R&D. This is something which is part of the goodwill purchase accounting.

Amit Purohit: Sure. Thanks a lot.
Moderator: Thank you very much. Next question is from the line of Pallavi Deshpande. Please go ahead.
Pallavi Deshpande: Yes . I just wanted to understand on the Crizal lens that we offer in Singapore is not widely offered in India. Any particular reason for that?
Peyush Bansal: I will check, but we do not offer Crizal lenses in Singapore. There could be a pilot that the team could be doing. I will recheck on it.

But we do not offer Crizal lenses. We offer lenses
– it could be a pilot, if you saw it, I understand, but what we do i s we offer lenses in four categories.
We – and maybe we are doing A -B testing to see how customers understand or maybe a quality check. But we offer Lenskart lenses. Then we offer Owndays lenses, which is the next segment of lenses, which we are supplying in India also and also in Japan. And t hen we have two more brands, Rodenstock and Tokai. Tokai is a Japanese brand. What we got into our portfolio and exclusively in India and now expanding to other markets is they use neuroscience technology.
We were earlier importing these lenses. Now we are manufacturing these lenses in our factory in Biwadi. Our latest addition is Rodenstock, which is a German lens, which we are also now manufacturing. But I look into it, and thank you for pointing it out. B ut right now our strategy is to create lens brands for the future. And where we find specific use case or an R&D, then we try to do a license partnership and try to manufacture it ourselves.
Pallavi Deshpande: Right. My second just, what do you say, observation or guidance would be that, on the blue block lens, maybe more needs to be done in terms of quality. I have been using one Lenskart blue block lens and it has been giving me a headache. So, just a pointer on that side. That is all from my side.
Peyush Bansal: Thank you, Pallavi. Thanks for the feedback. I will be in touch with you. Thanks for sharing this feedback. We do take this very seriously. We invest actually in the whole science of our blue block lenses from material to monomer to coating is done by our R&D team.
We will be getting in touch with you within minutes of this call and I will be speaking to you to take this feedback, and we will do everything that it takes to get you satisfied.
Pallavi Deshpande: Yes , no, this was not for my satisfaction. I'm just saying that since you said, you've said it twice on the call today that you want to take this more widely. So, I'm just worried about any damage to the brand in case it's not fully prepared in terms of quali ty.
Peyush Bansal: No, no, absolutely. Every feedback is crucial for us.
Pallavi Deshpande: Thank you.

Peyush Bansal: Thank you.
Moderator: Thank you very much. Ladies and gentlemen, we'll take that as a last question. I'll now hand the conference over to Mr. Nikunj Mall for closing comments.

Nikunj Mall: Thank you everyone for joining. For any further questions, please feel free to reach out to me or write us at investor.relations@lenskart.in. We look forward to seeing you again in next quarter. Thank you.

Moderator: Thank you very much. On behalf of Lenskart, that concludes this conference. Thank you for joining us and you may now leave the meeting. Thank you.

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Dalal Street, Fort,
Mumbai - 400 001

Scrip Code: 544600

Sub.: Transcript of Earnings Call with respect to Financial Results for the quarter and nine months ended December 31, 2025
Dear Sir/ Ma'am,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Earnings Call conducted on February 11, 2026.
The above information will also be hosted on the Company's website viz. https://www.lenskart.com/corporate/investorrelations.
Kindly take the same on record.

Thanking you,

Yours Sincerely,
For Lenskart Solutions Limited
(Formerly known as Lenskart Solutions Private Limited)

Ashish Kumar Srivastava
Company Secretary and Chief Compliance Officer
Membership No.: F5325

Place: Gurugram

Lenskart Solutions Limited

Q3 FY26 Earnings Conference Call

February 11, 2026

MANAGEMENT : Peyush Bansal – Co-Founder and Chief Executive Officer, Lenskart Solutions Limited
Abhishek Gupta – Chief Financial Officer, Lenskart Solutions Limited
Nikunj Mall – Head of Investor Relations, Lenskart Solutions Limited

Moderator: Ladies and gentlemen, good evening and welcome to Lenskart Q3 FY26 Earnings Conference Call .
To present the results, we have with us Mr. P eyush Bansal – Co-founder and Chief Executive Officer, Mr. Abhishek Gupta – Chief Financial Officer and Mr. Nikunj Mal l – Head of Investor Relations.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, you may use the chat option to interact with the moderator and for participants connected through audio, you may press '*' then '0' . Please note that this conference is being recorded.
I now hand the conference over to Mr. Nikunj Mal l – Head of Investor Relations from Lenskart. Thank you and over to you.
Nikunj Mall: Thank you, Yash. Good evening, everyone and thank you for joining Lenskart's Earnings Call for the 3rd Quarter of Fiscal Year 2026.
Before we begin, I would like to remind you that some of the statements we make today may be forward -looking in nature and are subject to risks and uncertainties. The conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict. We have uploaded our Q3 Results and a detail ed shareholder's letter on our website and stock exchanges.
Please note that during the call, consistent with our IPO perspective, the financial numbers we are going to be presenting are referring to the proforma financial statements for like -to-like comparison unless stated otherwise. Reported financial statements reflect acquisition of Dealskart, Meller and GeoIQ from their respective transaction closing dates. Proforma financial statements present these financials as if the acquired business had always been a part o f the company and hence represent a clearer tren d analysis. However, for Q3 FY26 numbers, there is no difference between proforma and reported financials.
We will begin today's session with opening remarks from the management team. During the time, everyone would be on mute. Following the presentation, we will open up for Q&A. To ensure we accommodate as many participants as possible, please limit yourself t o one question and re -enter the queue.
With that, I would like to hand over to P eyush.

Peyush Bansal: Good evening, everyone and thank you for joining us. I really appreciate your trust in us both with your capital and your glasses.
I want to start with a number that does not appear in our P&L :
This quarter, we conducted 6.3 million eye tests globally. A 11% increase quarter -on-quarter and a 54% increase year -on-year. In India alone, 5.5 million eye tests, up 60% year -on-year. And the number that matters the most, 49% of these were first -time eye exams. Every eye test we conduct expands the addressable market itself. This is the engine behind our financial results this quarter.
In my last letter, I spoke about entering a compounding phase, where every incremental

Rupee and Dollar in revenue will add more to the EBITDA. This quarter continues to validate that thesis. Revenue grew 37% year -on-year to ■2,308 crores. Our strongest quarter as a public company and a record SSSG of 28% in India. EBITDA grew 90% year -on-year to ■462 crores. EBITDA margin expanded 550 basis points, crossing the 20% threshold for the first time. Pre -Ind AS EBITD A1 tripled year -on-year to reach ■265 crores and 11.5%. PAT grew more than 3 x the same quarter last year, reaching ■133 crores. For the first 9 months, PAT has already more than doubled to ■326

crores versus ■137 crores
for 9 months last year.

Let me share with you what is fundamentally accelerating this growth :

We are living through a moment where Artificial Intelligence has stopped being a promise and become the foundation of how companies build, operate and imagine the future. At Lenskart , the same is happening. What we are able to do today with AI , was not possible a year back. I am glad we made the choice to invest in technology and AI years ago when we invested in Tango Eye, Virtual Try On , and our Location Intelligence, GeoIQ . These bets are now paying off. A single optometrist in Kolkata today conducts prec ise eye exams for customers hundreds of kilometres away in Jaisalmer, in Sitarganj, in Udalguri and more. Through our remote optometry platform, we have scaled from 168 stores in March to 369 stores today in India. And a lmost every new store we open , now opens with a remote optom attached to it. Our remote optometry tests have grown by 330% now (year -on-year) . The driver of this remote eye exam , you need to understand, is our technology and AI layer which is becoming better with every eye test. Every eye te st is recorded, and data is captured between the prescription movements and what is the conversation between the optometrist and the customer.

This is enabling us to do 60% growth in eye tests in India. In the last 9 months, we have added more than 4 million people to the eyewear TAM .

I am glad to announce that from January this year, we started Kids Eye Test for children aged 8 + for the first time across all our stores in India. This was also made possible by building our own proprietary technology for Kids Eye Test.

We have added 169 stores in India in Q3. This is more than what we added in 9 months last year. And we did it with 28% SSSG and 36% same pin code sales growth - showing we are expanding the market , not splitting it. This kind of acceleration and unit economics can only be driven by deep data science. We today are tracking mobility patterns, satellite imagery, every retail cluster, every delivery rider, every rent agreement and thousands of more data points and correlate this with performance of our existing 2000 + stores. Allowing us to predict revenue of every latitude -long itude before we choose a new store location. And the system is getting better and better , and learning with every new store we open; our prediction becomes better. Our platform now even analyses cannibalization, predict s impact on nearby stores and make s better decisions - faster. Our stores recently launched a new face scan feature to help consumers choose best frames for their face. With user consent in a short period of time, we now get 100,000 + face scans daily. Our recommendation engine is learning with every interaction - understanding face shape, preferences, prescription history and personalizing the experience instantly. This was earlier possible only in online. But launching it in the stores has made this exponential. The smart engine is core behind our growth and consumer experience. We understood years ago that giving vision to a billion people would require technology that learns and improves with every interaction. 14 years of data and millions of customer interaction feed into a learning loop that strengthens with every transaction. This is our compounding advantage. We are transforming eyewear from atoms to algorithms.

I will now hand over to Abhishek for the operational and financial details.

Abhishek Gupta: Thank you, Peyush . Good evening, everyone.

Let me first talk about the India business :

The revenue growth was primarily volume -driven, with eyewear units growing 32% year -on-year in Q3. This was powered by a 60% increase in the eye tests, like Peyush mentioned. In the last 9 months, we conducted 14.8 million eye tests in India, up 55% year

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on-year. ASP contributed 7% increase year -on-year, driven by customers choosing premium lens options and not just by the price increases. Our Owndays premium lenses now represent 38% of the India revenue. The same store sales growth came in at 28% in Q3, driven by volume expansion from new customers acquired , and also deepening relationships with gold members driving repeat purchases. Gold membership has now over 8 million active members, wi th 37% of Q3 sales coming from members acquired in prior quart ers. This is recurring compounding revenue, requiring zero incremental CAC . This confirms strong organic momentum in existing stores. We added 169 net new stores

in India in Q3, a 160% acceleration over the 65 stores in Q3 last year. Year -to-date, we have added 372 stores in India, taking the total India store count to 2 ,439.

Now talking about the financials of India :

India revenue increased 40% year -on-year in Q3. And on profitability, India pre -AS EBITDA1 margin reached 14.9%, which is a 4.9% increase over the 10% that we clocked last year. This is structural. If I look at all the different line items of our P&L, we see efficiency everywhere. Marketing costs declined by 70 basis points year -on-year, reflec ting a strong brand pull. Employee costs improved, led by technology -enabled productivity and AI. And other expenses benefited from overall operating leverage and red uced2 COCO mix in the overall mix.

Now moving on to the international business :

International business, again, seeing a volume -driven growth with both units up 21% year -on-year and eye tests also up 20% to 0.8 million eye tests . We have added 26 net new stores in Q3, resulting in 48 net additions year -to-date. Hence, international store growth or international revenue growth is largely driven by same store performance. Talking about financials of international business, we grew 32.7% y ear-on-year in revenue in current currency construct. And if you look at constant currency also, we grew 24%. This is an acceleration from H1. International EBITDA reached 18.8% in Q3, up from 10.9% a year ago. At post -rent basis1, the margin expanded to 6 .4% in Q3 from a (-) 3.6% one year back in Q3. On a 9-month basis, we are at now 6.1% versus 2% that we did last year. So , you can see that there is operating leverage in both India and international business.

From a cash flow standpoint, in the first 9 months of this year, we generated ■485 crores of cash flow from operating activities. This was used to fund the store expansion. And we used ■288 crores to open 420 new stores and also invested ■267 crores in manufacturing, including the new Hyderabad facility. So , excluding the IPO proceeds and M&A, in the first 9 months of the year, we generated ■7 crores of cash.

This means our cash flow from operations was sufficient to fund our store expansion as well as plant expansion in the last 9 months. And closing cash balance, including the IPO proceeds, stands at ■ 3,978 crores.

With that, let me give it back to Peyush to talk more about the drivers and the business.

Peyush Bansal: Thank you, Abhishek. Let me add some more context to the numbers Abhishek shared.

On new store economics, our model is fundamentally different from lifestyle retail. We are not opening destination stores. We are building a neighbourhood network.

Our stores are experience centres , not inventory warehouses. And hence, they can be much smaller. Our stores are asset -light order booking engines powered by a centralized supply chain. And hence, we are not necessarily limited by space of store for growth. Revenue per new store is growin g at a 15% CAGR. This ensures low paybacks for new stores also. And our Tier-2 + new stores are our best performing cohort today at ■ 13.2 lakhs avera

ge monthly revenue for a new store. We are continuously modelling for can nibalization in our location intelligence, as I mentioned before. The same is validated in our 9 month s SSSG of 20% and SPSG of 26%, broadly similar across metro, Tier-1 and Tier-2 +.

The second point is on international :

In our shareholder letter this time, we have provided a detailed section explaining our international business.

Let me share the key takeaways :

Our international segment , at 705 stores , is already at a 6.1% EBITDA margin pre-IndAS1. On a 9 -month basis versus 2% for 9 months FY25. So, from 2% it has already grown to 6% post -rent EBITDA1. Approximately 4x year -on-year from a ■42 crores to ■166 crores. But the key point here is India was at 0.3% EBITDA3 in FY23 with nearly double the store count at about 1 ,400 stores. International is tracking way ahead of where India was at the same stage. The margin acceleration comes from structurally higher product margins of 75.7% internationally versus 63.5% in India. And in markets where supply chain integration is

advanced, like Singapore and UAE, product margins are trending even higher. So, we have a clear playbook and a long runway ahead for further margin improvement.
We have achieved the number one position in Singapore and replicating that playbook across Japan, Middle East, Thailand, and rest of Southeast Asia , step -by-step. I would encourage you to read the international section in our shareholder letter for the full picture.
Now the question I get asked most, how long can India sustain growth? Our addressable market is beyond the ■79,000 crores eyewear industry today. It is the ■4 lakh crores opportunity projected by FY45. With every eye test, the market expands. We serve 25 million eyewear units annually. India needs much over 500 million. We are serving less than 5% of this need. The runway ahead is immense. In categories like paints, automobiles, airlines, organized leaders command 25 % to 50% plus market share. There is no structural reason eyewear should be different.

Also, the market is moving from unorganized to organized. A recent survey of 3,000 + Lenskart customers revealed 47% buyers shifting to Lenskart from the unorganized sector. Most cited limited collection as the primary reason, highlighting the opportunity. 32% of customers said they bought their first eyewear from Lenskart. This correlates with 49% of our own eye test data being new.
Now, I want to give you an update about Meller :
One of my favourite brands, I repeat. Meller grew more than 42% year -on-year in first 9 months this year, unlocking fashion sunglasses as a new category for Lenskart. Within weeks of India's launch, we went out of stock, saw tremendous success in Middle East too. As I mentioned before, Meller has the potential to become one of the defining eyewear brands globally. It demonstrates our ability to integrate brand assets that expand our category presence and customer choice. This is the blueprint of our House of Brands strategy. Our platform can take a sub -brand and scale it globally at a fraction of the standalone cost.
And the biggest transformation is yet to come.
B by Lenskart, our smart glasses, will have its soft launch in Q4 this year. We believe the future of consumer technology is in wearable intelligence. This shift from looking down at a screen to looking up into the world is bound to happen. The first versio n of our glasses will allow customers to take photos and videos, log their meals, and chat with AI for answers and dialogue. Post -launch, we will begin continuous software and firmware updates, adding features based on user feedback. We will learn, iterat e, and continuously improve as we build the ecosystem that will define smart eyewear. Stay tuned.
We are investing for the long term, from remote eye testing to fully AI -enable

d eye testing,
the Hyderabad facility, and a lot more. Bets that will pay off over decades. And as we grow, we remember what matters most, our customer love. This quarter, we did our record NPS of 80.9. Beyond commercial impact, through the Lenskart Foundation, we served over 150,000 people with free eye screening and provided eyewear to many, often their first pair. The Indian government's budget commitment to allied health profe ssionals, especially optometry, aligns with our vision of democratizing vision correction at scale.
In summary, we delivered a strong quarter, 37% revenue growth, 20% EBITDA margins, and tripled our PAT, while accelerating SSSG , store expansion, deepening our technology moat , and building new categories. The runway is long, the moat is widening, and the best years are ahead of us. It's still day zero, with that, we will open for questions.
Moderator: Thank you very much. We will now begin the question -and -answer session. We will take our first question from the line of Garima Mishra from Kotak Securities . Please go ahead.

Garima Mishra: Thank you so much for the opportunity. First question, super strong SSSG performance in India. Most of it was volume driven, but part of it was on account of ASP growth as well. You have elaborated some of the reasons for the same. Of the 7% ASP growth, was Meller a big contributing factor since it has scaled up its store presence in India in the last 3 to 6 months?
Peyush Bansal: Hi Garima, thanks for asking the question. The ASP growth largely came at the back of more Progressive. We invested a lot in digitizing our Progressive eye testing because this was an area we were still working on. And so , we worked on that and that allowed more people to buy Progressive from us. And then we have a premium share of lenses which is

from our own brand Owndays which is the chain in Japan. We saw adoption there and we continue to launch more lenses. We have an iShield lens where we saw significant adoption. Meller, to be honest, was not a part of this ASP increase yet because within I think within 2-3 weeks , it went off the shelf. Nothing from Meller yet so far, I would say.
Garima Mishra: This number is sustainable. Sorry, just to complete the loop, this ASP growth.
Peyush Bansal: Well, I don't want to get ahead of ourselves and not make future guidance, but it is structural. I w ill not say this is because of any particular one -time activity.
Abhishek Gupta: Garima, if you look at the volume growth, that is the most important part and there are no price increases.
Peyush Bansal: Yes, we have not taken any price increases.
Garima Mishra: Understood. Got it. Thank you so much. I will come back in the queue.
Moderator: Thank you. Next question is from the line of Percy from IIFL. Please go ahead.
Percy: Hi, Peyush and team. Congrats on a fantastic set of results. I just wanted to ask on the international business. While the margins are growing, I was just wondering on the cost part of it. So , if I look at the employee cost as well as the other expenses, both these have grown for the YOY at 20%. The number of stores added on a YOY basis is just about 7% - 8%. And of course, there are non -store employee costs also. So just wanted to understand why we have such a high -cost inflation when the store base is not increasing so fast. And therefore, it has implications on margins as well.
Abhishek Gupta: Thank you, Percy. Let me take that. So, if you see overall, let's first talk about the EBITDA3 improvement. From the 3.6% that we did full year last year and 2% EBITDA3 that we did in the first 9 months, we have done 6% in the first 9 months this year. And if you look at the point by point that you mentioned on the employee cost, we were at 30.6% of revenue on employee cost last year , and in Q3 , we are at 29.4%. Marketing has

gone up a little bit
because we are investing in brand building, mostly on Owndays side. And other expenses

last year was 18% of revenue and this Quarter it is 17%. So even the rent number has gone down from 13.6% to 12.5%. So overall, on a post -rent basis1, this quarter is 6.4%. But I would still say that India margins, like you said, in FY23, were at 0.3% with 1,400 stores. At 700 stores, we have reached 6%. But each market is in a different stage of growth and development. Singapore and UAE are more matur e markets where we are leading market share. And then there are markets like Thailand and KSA where we are still investing. Growth is in the currency 8%, i f you look at the overall revenue growth you see, there is 8% coming from currency impact also.
Percy: Got it. On the India business, the SSSG has accelerated by about 12 -13 percentage points this quarter. You have given some information in your shareholder letter what you have done. But these measures were there in the previous quarters as well. So just wanted to understand why suddenly in Q3 we have seen such a huge acceleration. And a lso, I just wanted to understand what is the way ahead. Is 25% growth which you have been doing in the past, that is a more realistic number? Or is this 40% which you have done this quarter, that is a more realistic number?
Peyush Bansal: Thanks for asking. I was expecting the question on this for sure. So firstly, I think SSSG, we break it down. There is a significant increase if you see has come because of just increased eye test . We have accelerated the number of eye tests that we are doing. We were growing at about I think 45% odd in eye tests and that number in India now is 60% from maybe 50% last year approximately. So , we are accelerating eye tests in the process. Second, I think from a conversion perspective, we do dep loy a lot of measurement aroun d conversion of customers or traffic into the stores. And there is not one activity. There are a series of activities where we study, okay, how to place products in a store, how to decide movement. For example, this face scan that I spoke about. Earlier wh en you would come into a Lenskart store, you would give your phone number, OTP, you have to give an OTP too many times, you have to stand in a queue. Now there is a repair queue. If you look at our new stores, the collection q ueues are separate from our eye tests queue. We have actually reduced our eye tests time this quarter from what it was before. So that helped in increasing again. The other thing which we are seeing is our Gold subscriber base. Of course, we had Gold subscribers earlier, but we have activated more intelligent CRM now. Earlier, the CRM was more, I would say, linear, but now it has become more personalized, which results in my existing subscriber base to repeat more with us. And lastly, I would say, see, we believe that NPS is a leading indicator of growth. And we have seen this because our NPS has grown over the years from 58 to 60 to 65 to 70. So , an increased NPS, which has come at the back of reduced wait time, higher eye test quality is also factoring to it. Now, whether this is the new normal, I cannot comment on that. And I don't want to

get again ahead of ourselves and set any, we are just working on the structural, everything is structural, whether it is eye test , whether it is opening more stores in markets where we feel prediction is right, whether it is investing in more selection across , so quarterly

performance can always fluctuate. I would look at our business on a 9 to 12 month trailing and we will continue to invest in the long term.

Percy: Very helpful. Thank you and all the best. That is all from me.

Moderator: Thank you. Next question is from the line of Vivek M from Jefferies . Please go ahe

ad.

Vivek M: Hi, Peyush and team. Two questions. First on the smart glasses, you are a very interesting company, you are at the intersection of, let's say, technology and glasses. But do you think, we have seen in case of, let's say, wearables in the past that there were a lot of factors who also entered into this wearable space and then ultimately brought down pricing and so on and so forth. So, two parts to this question. One, from an opportunity perspective, how do you think about it? And secondly, do you see a risk of let's say, a tech first company entering into the space? Because one can argue that smar t glasses you wear only for specific occasions and you can always buy regular glasses from Lenskart and smart glasses from a tech first company. How do you think about that issue?

Peyush Bansal: Great question, Vivek. Thank you. See, this is our first step in transitioning from an eyewear company to an intelligence company. You made some comparable to the wearable industry. I think this is structurally very different from what we are trying to do. Firstly, there is a lot of data that is involved here which we are capturing. We are not getting a product and retailing it and labelling it. We are actually building the ecosystem where we are capturing photos, videos, building the algorit hm and then capturing that data and learning more about the consumer. So, we own the full pipe here. We are not labelling and selling a product. But w hat we need to understand is that at the end of the day, the strategic rationale is very simple.

We have 33,000 +4 stores, 20 million annual customers and the largest optometry network in the markets we operate.

We are uniquely positioned to distribute smart eyewear at scale, whether it is our own or someone else. Eventually people need prescription lenses even in smart glasses, not just in normal glasses. And which is why you see even in the current ecosystem of whatever is happening globally, these glasses are being sold through an optical ecosystem.

And Meta doesn't have 3,000 stores where you can try, fit, get surveys, get a prescription. So, I think our view is that our distribution network, our eye testing network is core to making this a success. But I just want to set the expectation clearly. This is version one. We are not projecting material revenue contribution in the near term. We are going to learn, build the ecosystem, but the long -term focus that we are going in here is with data and not the hardware.

And that data capturing is what we are relying on and what we have been building. When the B will launch, you will see that we have spent so much energy on image and video optimization. And that is the level we are working on this.

Vivek M: One more question, Peyush . Thank you for the response. The other question is, and I can't help but to ask you this. Your India business growth margin is great. International growth margin is great. And there are hundreds of inputs, I am sure. But Peyush , personally, or as an organization, what do you worry about the most?

Peyush Bansal: A lot of things. B ut I think , at least what I have seen is execution at scale is always sometimes understated. I think ensuring that customer experience remains intact and grows when we are opening so many stores, growing internationally, the risk is always stretching too thin. That's why I think the key is to invest in systems, whether it is running of the stores, or finding where to open a new store, or eye test for, I mean, a good example is Progressive eye test . The increase in our Progre ssive share can never come because of us doing a lot of training, because that is going to be short term. But if we can structurally build it into the ecosystem, then it can work. So , I think the centralized supply chain definitely helps in keeping that customer experienc

e intact, the more it gets distributed,
that comes under risk. But the system that scale is the only solution and retaining our

customer experience is most important thing. Short term risks are also there, I would say there is a currency el ement that is involved in our business, although we have a good hedge from our earnings perspective coming from different geographies. But ye s, I would say execution and keeping customer experience at the core.
Vivek M: Got it. Thank you. Wishing you all the very best. Great numbers again.
Moderator: Thank you. Next question is from the line of Tejas Shah from Avendus Spark Institutional Equities . Please go ahead.
Tejas Shah: Hi, Peyush and team. Thanks for the opportunity and congratulations on three crowns, strong numbers, a very well drafted newsletter, and more importantly, giving us time to read the letter before the call starts. So , first question, you have highlighted a couple of times on the call as well that eye test , the first one is actually very crucial for us. So , 49% of eye tests were first time this quarter. As you go deeper into Tier -2 cities or even spread wider, are you finding that the cost of reac hing the next wave of first -time customers going down or is it remaining steady with the with the infrastructure that we have created?
Peyush Bansal: To be honest, I haven't measured this in the same way. What I can tell you is that in Tier -2 what we definitely see is the demand is more for sure. Because the options that you have are more limited. I am going to look into this data, what you are really asking is in Tier -2, do we see this

to be higher? I have not necessarily tracked data in that sense. We definitely see the new store revenue in Tier -2 to be significant, or I would say decently higher than what we have seen the other Tiers right now. And when we look deeper into it, it was largely because of lack of choice and selection. My gut says it would largely hold true what you are saying, but we will get back to you offline on this.
Abhishek Gupta: And Tejas, if you are talking about our ability to execute in the remote areas, that I think if you had asked this question one year back, our answers would be different. But today, with the remote optometry in almost 370 centres , we feel very confident that now we do not have to find optometrists in every remote location. So , we can deliver and fulfil that experience in any part of …
Peyush Bansal: And this will continue to get better because we are headed towards an era where a lot of this is going to get even more optimized. The time to do an eye test is already reducing. Our remote optom use co -piloting. Their quality of eye test is much higher. So , this is only going to keep getting better, I would say.
Tejas Shah: Perfect. Thanks. Thanks for that answer. Second question, Peyush you called out in the newsletter also that we are entering the compounding phase and mid to long -term margin expansion is embedded in the business model now. So , the way you gave us lens to think about market share, referring to certain industries where it is, we don't have a peer here, at least comparable at our scale. So how should we think about that? At what point the trade -off of margin versus reinvesting bac k in growth actually comes to surface and you say, okay, this is a ceiling for now and let us reinvest for the growth?
Peyush Bansal: I would say we are only prioritizing growth. There is the share, the market size is growing very rapidly. So , for one to gain market share, you have to grow significantly higher because fundamentally the market is growing in India at 13% to 14%, I believe. From whatever we can measure, it could be even more. So , you have to grow a lot more to gain market share. So , growth is our top priority. The key is if we have a margin of 63.5 in India

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and that also we think structurally will grow from t he investments we are making , growth and profitability are not indirectly proportional. I mean, we have not reduced our marketing spend this quarter. We have added 10 crores more to the marketing spend. But there is only that much money you can spend, and we do not believe in push advertising. So that could be an area to accelerate growth. I think we are today living in a world where you want to build brands that are full and that you build through storytelling and that does not require that much money. Con tent is getting cheaper. So , I have not yet tried to refrain in spending on anything. The key is to hire best talent. And there, my learning and our learning has been, again, we have leveraged today almost every person we hire in the store. In fact, every person we are hiring in the corporate today, the interviews are taken by AI, even at a CXO level. That has really improved the quality of hire. So that's your only large talent is going to be your biggest, largest expense. And that cannot compound at the

same rate. I do not think we are holding back - growth continues to be our top priority. It's not a trade -off. I want to add there is customer experience. I don't think we would ever want to do a growth where our customer experience is at cost.
Tejas Shah: You spoke about NPS also . Thank you.
Moderator: We will take our next question from the line of Avi Mehta from Macquarie . Avi, please unmute your connection and go ahead with your question, please.
Avi Mehta: Peyush, A bhishek, I wanted to understand the India sales growth again better. And the context is if you remember last quarter, you had indicated some disruptions because of the GST change which were normalized. Now, in that context, and just to appreciate the nature, could you give us a sense on what's the number between the months or how Jan uary has trended just basically to understand how much of it was just a normalization versus the last quarter versus the underlying trends and the benefits o f the initiatives that you have taken? So that was my first question.
Peyush Bansal: Thanks, Avi. So, we did have a GST reduction from 18 %5 to 5%. But if you look at our numbers the impact is not visible and that's actually the point . The growth is sitting in eye tests and volume and not in pricing. And people don't get more eye tests because now there is a reduced GST . These are more structural and people discovering their need for glasses for the first time. And the ASP increase which tells us that customers are trading up to Progressives and Premium, not buying more because of things got cheaper. We did pass the full GST benefit to customers and I think over time, this will make eyewear more accessible at lower price points, which is aligned with our market creation thesis , but Quarter 3 growth is not a GST story, it's an eye test story, it's a volume story and it is also a store expansion story, which is embedded in the 40%. There is 28% SSG, but then there is a new store acceleration expansion. So , that's what I would say.
Avi Mehta: But Peyush, basically where I was coming from is 2Q we did see an impact in sales. So that's why I thought something of that did flow through. That was my understanding. Hence the question between months if there was any trend.
Peyush Bansal: I was expecting it to flow. To be honest, we also made our blue computer glasses more affordable, but I think it will come more in the long term. I am sure it will come more in the long term. At least in this quarter, we did not see GST impact.
Avi Mehta: Got it . So, nothing one off between is what would be the reasonable way. Okay. The second bit, if I may, on just a bookkeeping . You did highlight about currency impact or currency volatility that you were exposed to. So how much o

f our frame, what is the salience that gets hit from currency? If you would give us any colour over here on, how should we look at currency risks, which currency . That that's all from my side.

Peyush Bansal: So, in the India business, of course, there is a significant part of frames we import and that has a currency risk. What is good is that we have a natural hedge to some extent because we are earning in JPY, SGD, Singapore Dollar And we are yet still net impor ters from that perspective. But this is more in the short term, I would say, with our Hyderabad factory coming in, and even in our existing factory, we are really accelerating our in -house manufacturing for frames. That is largely our onl y exposure to currency on the negative side. On the international business, it's more positive and the earnings get hedged. But on India side, in the mid to long term, as we move more of our frame manufacturing, we would see actually growth in product margin in India which will surface, which actually has been absorbed by the Rupee RMB depreciation.
Avi Mehta: If I may rephrase, let's say currency, this FX exposure for frame manufacturing would be 10% of the cost or 10% of sale s, sorry, 50% of sales, which would reduce to 30%. Any sense on that kind of numbers, would you be able to give or it's too early right now to kind of go there?
Abhishek Gupta: Avi, at a net level for the consolidated P&L, the impact is not meaningful.
Avi Mehta: Got it. Perfect, Abhishek. That's all from my side. Thank you.
Moderator: Thank you. We'll take our next question from the line of Devanshu Bansal from Emkay Global . Please go ahead.
Devanshu Bansal: Hi, P eyush and team. Thanks for the opportunity. P eyush, first question is on international growth trends . Currency adjusted growth is pretty encouraging with 24%. Has this trend come as a surprise to you as well, specifically for international markets? And what is the level of confidence on continuation of this growth in the coming years as well?
Peyush Bansal: Almost all of this growth is because of 21% growth in volume, and we have a 20% growth in eye test . I think the playbook that we are following is the same. And then there is a 2 %-2.5% increase in ASP which is because of the mix changes which happen quarter to quarter. I think we will continue to keep our playbook same, very similar. We are right now

extremely focused on a few things in international. One is growing our eye test just like in India. We are still away from installing our location intelligence in the international markets which we are working very aggressively on to get more insights, to learn from the data. We are very focused on making sure our gold membership ecosys tem starts coming into place more strongly for which Omnichannel is getting very active. We have seen our Omnichannel, a lot of success in Omnichannel in some of the markets. So , I would say, we are right now disproportionately investing in growth. It is also visible in our marketing spend and we will continue to do so. It is still quite early, and I would not want to make a future projection on this right now. We have barely opened new stores in international, so it is coming at the back of SSSG.

Devanshu Bansal: Yes, that's visible , Peyush . Second question, ticket size increase has been there due to premiumization and progress ive in India. However, this did not reflect into gross margin gains again, right? So how are you thinking on flow through of these allied gains for the India operations going ahead?

Peyush Bansal: Firstly, we have to look at gross margin, product margin improvements in India in the long term. It is very difficult to move these quarterly. And we like to work on things which are structural, which is moving our production to

India is one of the big ke y lev ers. Currently, there is, of course, a currency impact which has been absorbed in this. We have also been aggressively scaling campaigns like new lens replacement, where we are passing a lot of benefit to the customers , to acquire new cu stom ers. So, it is a combination of that. So, while, it is a great question, it is an astute question that with Progressive increasing margin should increase, but it is getting offset with us passing that benefit to the customer and some of it in currency, which is more short term and in the long term - it should surface.

Devanshu Bansal: Thanks for taking my question, P eyush and all the best for coming quarter. Thank you.

Moderator: Thank you. Next question is from the line of Amit Sachdeva from UBS. Please go ahead.

Amit Sachdeva: Hi, good evening, everyone. Thank you for taking my question. P eyush, I just have a small question. First of all, congratulations on adding an accelerated volume in India and unlocking exponential growth. My question is that, is there a way that you are tracking also while there is exponential deluge of customers by way of eye testing are getting added , are you also at the same time tracking the consumers who are leaving the ecosystem? Or how do you track or define a customer who's a leaver? And why I am as king this is, is there a journey of consumer with you? And if there is a leaver, how do you define it? And what sort of trends are you observing from it and what sort of learning so far and how you have tweak ed your model from those learnings? I am just thinking aloud that in an exponential growth, is there also an opportunity where lifetime journey of consumer is being also analysed and if they are leavers and why they leave?

Peyush Bansal: Thanks for asking this question, Amit. See, churn is a very important number we and I think it is a key metric for us. And our Gold membership actually was designed many years back to address this, because we realized when people churn, majority of the time we saw the churn happens not because of a reason , when we ask questions, why did you not come back? They won't have an answer. Like this, okay, I will come back. But this time I saw something else, and I bought and that is where the genesis of Gold membership is. And if we look at our 2-year repeat rate right now is about 98%. But that being said, consumers do churn. We have been investing a lot in AI based CRM and to make it more con versational . In the past, CRMs have been quite static and not intelligent. So , we keep getting the same messages, the same products f or customers, and not necessarily

addressing their needs. So , I think that is very important. The reason consumers may also churn is because while we may have an 80 NPS, we also have some portion of them that become detract ors. So, detractor handling is an opportunity for us. I won't say we are fully there; we have a lot of work to do there. This is an area we need to invest in more and we are continuously investing; we have reduced the number of contacts we used to have by almost 30%. And that is a sign that less people are having to reach out with any kind of problems. And prescription as a business, it's not a product, it's a sale and service business. People are requiring constant hand holding. Sometimes they don't adapt to a power. So , there is a lot of opportunity here for us to do. But I do think in the new world of AI, this can be done much faster than before.

Amit Sachdeva: Got it. That's very, very helpful. The reason I was also asking is that, is there a way to observe any opportunities for premiumization or scaling consumers up or down? That's where I was also coming from. Is there an opportunity to see where consumer cohort is cha nging or migrating or something like that as well? These are t oo detail e

d and I can obviously take it offline as well.

Peyush Bansal: Yes, we can take it offline, but we do track every consumer cohort very deeply and we do upgrade consum ers. We have our entry level pricing all the way from ■2,000 - we had shared a data in DRHP also , that we have as many consumers abo ve ■10,000 as we have below ■2,000. And most of these consumers above ■10,000 are the people who upgrade into the ladder. But we can connect offline for more.

Amit Sachdeva: Sure. Thanks so much. Great, to interact with you on this call. Thanks.

Moderator: Thank you. I now invite Vedan t Sarda from Nirmal Bang Securities . Vedan t, please unmute your microphone and go ahead with your question.

Vedant Sarda: Hi team, congratulations on a wonderful set of numb ers. My question is, can you give us some kind of understanding on replacement demand, the factors driving our replacement demand, average period of a user replacing his or her eyewear? Can you give some understanding on that?

Peyush Bansal: Yes, sure. I think great question. See, overall macro level eyewear is trending to be more and more high frequency product. And that is fundamentally sitting in the fact that it has become more affordable and there is more selection and there is more access. The moment all three come together, frequency increases. Our own frequency has been growing year -on-year. We disclosed in DRHP our frequency over 2 years is 3.6 units of eyewear. And we only see this growing quarter -on-quarter. The key is to bring in more selection. I think today consumers do not have enough triggers to buy more eyewear. One good example is our wedding collection, which was again a super success in Quarter 3, a collection called Bidri that we launched, and it ran out of stock very fast. So , I think there is a lot of opportunity here. We saw a very similar pattern of a frequency increasing trigger

in Southeast Asia when we launched Popmart in Quarter 3. It was our best ever selling collection where a non -discretionary purchase happened by people because they were fans of the character and they came and bought. So , I think we have to continuously - there is a lot of opportunity here to take this frequency up and in the long term, I think it will get closer to what it is. Shoes was not very different from where eyewear is a decade back or maybe even 5-7 years back. So , the trend is in the same directio n.

Moderator: Thank you. We will take our next question from Mihir Shah from Nomura. Mihir, please unmute your audio and go ahead with your question.

Mihir Shah: Hi, Peyush and team. Congrats on a great set of numb ers. Thank you for taking my question. First question is on the difference between the eye tests done at 60% growth and the volume growth of 30 % or 31%. What explains the difference in the number? What is the reason ? W hy, while in India we saw a stark difference in this number , however, in international markets that difference is quite negligible. So that is my first question.

Peyush Bansal: Hi, Mihir. I think that's a great question. See, in India, we are opening the top of the funnel. Majority of the eye exams we are doing are people who have never got their eye test done. They didn't know they needed correction before we made it accessible. So , the propensity to purchase immediately is naturally lower than in other markets. And I think what we see is, while a majority of them end up buying right on the visit, but a lot of them actually take time, they want to go back, they wan t to digest, they want to explore and come back in the long term. So , we do track these cohorts. But I think this number widening is actually a good sign, because this is a positive indication of market creation strategy.

Moderator: Thank you. I now invite Ashish Kanodia from Citi to please ask his question. Ashish, please go ahea

d.

Ashish Kanodia: Peyush, t he first question was on the international business. And the background here is you shared an interesting insight in terms of the survey which you did in India. So, when you look at this international market customer acquisition, and some of these markets are very different versus how India is whether it's Japan, Singapore or Middle East . In your insight, what is driving the customer acquisition? Is it, again, better eye testing? Is it better pricing, better designing? What's drivin g the customer acquisition in this international market, especially given relatively this market are more matured versus where India is and also slightly more organized?

Peyush Bansal: Firstly, I think there is a similarit ies between India and these markets from a perspective that refractive error prevalence is very high, and it is growing. It is not static; it is compounding every year. And so that is one thing that I want to clearly state that in Singapore, for example, myopia rates are now 83%, 84%. This was not the same. So , while the markets could be more mature, they are fundamentally not so mature when it comes to eyewear. And organized market share was where it was earlier , firstly, it is lower in

many of the markets. But it is shifting from a traditional retailer now to the new D2C retailer. So , when we look at the D2C growth, in all of these markets, it is the same. And I think that change is bringing. Now, in all these markets, what is happening is consumers need glasses and they want affordable glasses. As we are evolving, the middle class and the larger population wants glasses which have more designs, very similar to India, I would say. When you get choice and you get to spend lesser, and then you can buy more pairs in a year, that is what is happening. So , I am not seeing. Now, what is driving growth in these markets is actually what Lenskart is addressing is some thing is a 10x gap. It is not even incremental. Because in a market where you would earlier spending $400 on a pair of glasses, now you can get $100. Second, you are getting a one -year warranty on this product, you can get a 14-day money back, you are getting a full online ecosystem, we are doing same day and next day delivery. So, the disproportionate in the value that you are getting is very high. So actually, I think the proposition for the customer is very high. Because we are not an alternate to anythi ng else. Either they have this , in a lot of markets, of course, in Japan, there are other players that provide this , but in a market like UAE, where we entered Singapore, where we entered, and we are not an NRI brand. And if you know, our proposition resonates with local custom ers. If you go to Abu Dhabi, we are most popular with Emirati customers, you go to Singapore, most of our stores are not in the central area of Singapore - they are outside. So , the proposition is actually quite strong for them.

Moderator: Thank you. Next question is from Sheila Rat hi from Morgan Stanley. Sheila, please unmute your connection and go ahead with your question.

Sheila Rathi: Thanks for taking my question. My first question is with respect to the acquisition in Thailand. The shareholder s' letter led to talks about the potential shift of manufacturing of frames from China to Thailand. The earlier sense , Peyush , was that frame manufacturing would move to India at some point. How does this plan now work out in future? And will there be any investments required around it?

Peyush Bansal: So, there is no change in plan, and we are strengthening our frame manufacturing in India. But Thailand just adds to it because it actually derisks our supply chain from China as we are building in India . Thailand has an existing ecosystem today of raw material suppliers or component suppli ers. And it is not a very mass

ive project. It is a small project to strengthen our manufacturing capabilities and derisk our supply chain. And between India and Thailand, there is actually a tax treaty, so there are no duties involved. And it provides the regional manufacturing hub for Southeast As ia. So, it is a very strategic investment because in India, we today have zero ecosystem. And we saw this in China. Our China factory we built about seven years back and because of that we have been able to move so much manufacturing into India. Now, the same we are doing in Thailand because of the whole evolution where Thailand is on frame manufacturing in terms of components, spare

parts. It allows us to actually have a nearer bridge of knowledge transfer between Thailand and India. And it actually derisks us even more.

Moderator: Thank you. We will take a last question from Aditya Bansal from Motilal Oswal. Aditya, please unmute your microphone and go ahead with your question.

Aditya Bansal: Thanks for taking my question. My question is on the international product margin. They are at 75%, but if I look at the product cost, they are nearly double compared to India. What drives that? And what is the potential scope for reduction here? You have mentioned that in your newsletter, but any potential scope that you can highlight?

Peyush Bansal: A lot of scope here. Thanks for asking this. So, in markets where we are there for longer, like Singapore and UAE, we have seen our margins grow beyond our total international average. And I have explained this in the shareholder letter. This is a massive opportunity for Lenskart. Why it is higher today is because we had acquired Owndays as a business. We have integrated our supply chain in certain markets like Singapore and now Middle East. In the other markets, our integration is still ongoing. As more supply chain integration happens, this margin will continue to grow. So, we definitely see a huge opportunity here. And yes, there is no reason for it to be 2x. There will be some marginal difference because of logistic cost, etc. But otherwise, this gap is going to diminish, and the cost will converge similar to India and keeping the same premium ASP.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Niku nj Mall for closing comments. Over to you.

Nikunj Mall: Thank you, everyone and thanks for joining today. If you have any further questions, please feel free to reach out to me or drop us a note at investor.relations@lenskart.in and we look forward to seeing you next quarter. Thank you so much.

Peyush Bansal: Thank you.

Moderator: Thank you. On behalf of Lenskart , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

1 Any reference to pre -AS EBITDA or pre -IND AS EBITDA or post -rent EBITDA across the document should be read as EBITDA (pre -IndAS 116)

2 “increased” has been inadvertently stated as ‘reduced’

3 ‘EBITDA (pre -IndAS 116)’ has been inadvertently stated as ‘EBITDA’

4 3,100+ has been inadvertently stated as 33,000+

5 GST rate has been inadvertently stated as 18%, instead of 12%

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